

Setting this derivative to zero gives the critical point $Trust^* = -\beta_1/(2\beta_2)$. When $\hat{\beta}_1 \geq 0$ and $\hat{\beta}_2 \leq 0$, the fitted relationship in trust is concave (hump-shaped), and the estimated trust level that maximizes fitted returns to net wealth is $Trust^* = -\hat{\beta}_1/(2\hat{\beta}_2)$, reported as $(Trust)^*$ in the Table 2.14.

Table 2.14: The Level of Trust which Maximizes Returns

	Avg returns	Pooled	RE	CRE
<i>Panel A: Without controls</i>				
N	595	2,919	2,919	2,919
Both sig?	Yes	Yes	No	Yes
Joint test	0.0251	0.0062	0.1808	0.0088
$(Trust)^*$	6.7002	6.8860	6.7574	6.3383
$SE(Trust)^*$	0.9311	0.8357	1.4156	0.5472
$p(Trust)^*$	0.0000	0.0000	0.0000	0.0000
Conf. Interv.	[4.8753, 8.5251]	[5.2482, 8.5239]	[3.9829, 9.5319]	[5.2659, 7.4107]
<i>Panel B: With controls</i>				
N	592	2,899	2,899	2,899
Both sig?	Yes	Yes	No	Yes
Joint test	0.0201	0.0018	0.0770	0.0181
$(Trust)^*$	7.0701	7.6088	7.5538	6.5934
$SE(Trust)^*$	1.1220	1.1067	1.7324	0.6601
$p(Trust)^*$	0.0000	0.0000	0.0000	0.0000
Conf. Interv.	[4.8711, 9.2691]	[5.4397, 9.7779]	[4.1583, 10.9493]	[5.2996, 7.8871]

Panel A: minimal time-invariant controls (education only in panel specifications). Panel B: full demographics. $Trust^*$ computed as $-\hat{\beta}_1/(2\hat{\beta}_2)$; standard errors, p -values for $H_0: Trust^* = 0$, and 95% confidence intervals use the delta method (`nlcom` in Stata). “Both sig?” indicates both trust terms significant at 10% in separate tests; joint test is Wald on both trust terms.